Casa de Bolsa Interacciones

QUICKVIEW

Food

BIMBO A MM

Price
(MXN, as of 26/04/2017)
MXN$46.43

FLOAT
33.26%

BETA (3yr, vs Mexbol)
0.917

MARKET CAP. (MXN MN)
218,370

DL VL TRADED (AV. MXN MN)
103.2

TARGET PRICE
P$44 / Var. TP -5.5

HOLD

*TP Under Review

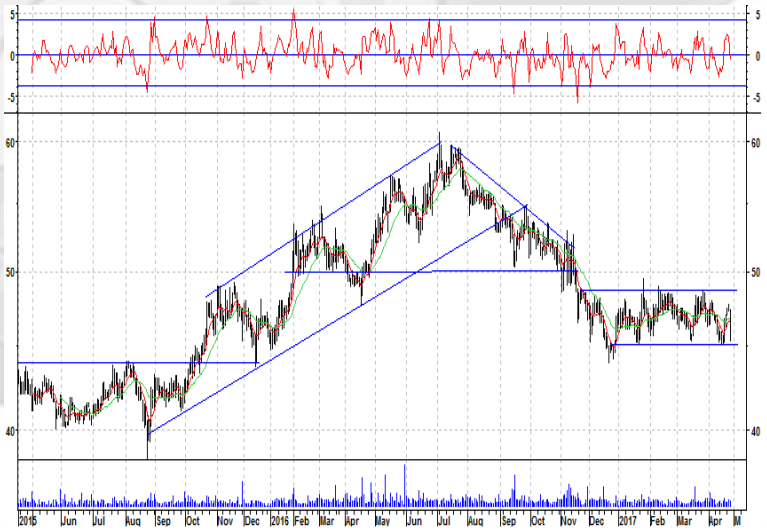
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Q117 Financial Report

Unfavorable results - BIMBO presented weak Q117 results as margins contracted mainly as a result of the exchange rate impact in Mexico and higher integration expenses in North America, Spain and Argentina, which overshadowed the solid sales growth. In addition, net income decreased strongly due to exchange losses and a higher tax rate. Therefore, we expect the stock to continue to maintain its downward trend in the short term.

Significant reduction in net income - Net income decreased 31% YoY to MXN$985 million, due to higher-than-expected exchange losses and an increase in the tax rate to 43.0%, compared to 38.5% in the same period last year.



	Q117	Q116	Dif (%)
Sales	66,511	57,075	16.5%
Operating Income	3,645	3,884	-6.2%
EBITDA	5,934	5,775	2.7%
Net Income	985	1,428	-31.0%

	1T17	1T16	Dif (bp)
Operating Mgn. (%)	5.5%	6.8%	-132
EBITDA Mgn. (%)	8.9%	10.1%	-120
Profit Mgn. (%)	1.5%	2.5%	-102

Data in million of pesos unless expressed otherwise, sum may vary due to adjustments.
Source: Interacciones and quarteryl company reports

Multiples	2014	2015	2016	LTM
P/E	54.4x	41.8x	35.9x	44.1x
P/BV	3.8x	3.7x	3.0x	3.6x
EV/EBITDA	13.8x	12.1x	9.9x	10.7x

Estimates (MXN mill.)	2014	2015	2016	LTM
Revenues	187,053	219,186	252,141	261,577
EBITDA	18,418	23,369	29,297	29,456
EBITDA Margin (%)	9.8%	10.7%	11.6%	11.3%
Net Income	3,518	5,172	5,899	5,456
Net Margin (%)	1.9%	2.4%	2.3%	2.1%
Net Debt	59,633	63,936	75,686	69,650
Net Debt/EBITDA	3.2x	2.7x	2.6x	2.4x

Source: Interacciones Research and the company

Q117 Financial Report

High revenue growth in all divisions - BIMBO's revenues increased + 16.5% YoY to MXN$66.5 billion, mainly due to the FX impact which boosted the North American (+12.7% YoY) and Latin America (+25.3% YoY) operations, a strong organic growth in Mexico (+12.0% YoY) and the acquisition of Donuts Iberia in Europe (+95.6% YoY).

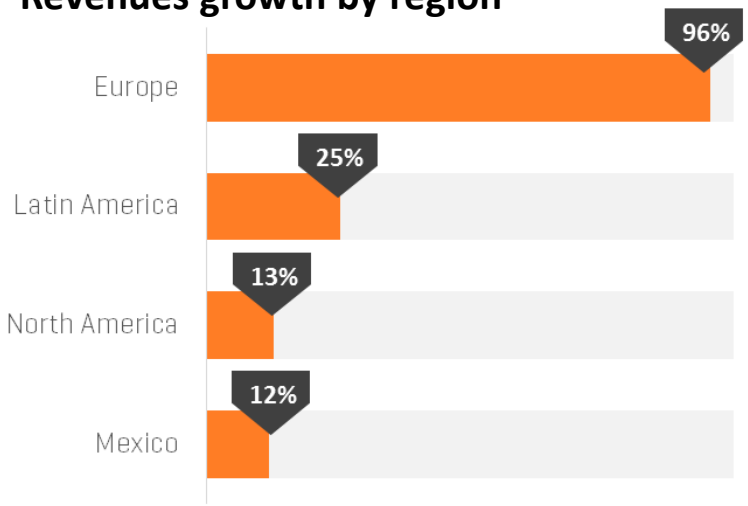
Stable gross margin - Gross margin remained at 53.7%, with gross profit up 16.5% YoY. Mexico saw a 180 bp decline in the gross margin as a result of the FX impact, which was mitigated by a higher profitability in the other operations.

However, BIMBO's EBITDA margin declined - Adjusted EBITDA margin contracted 120 bps to 8.9% due to higher integration costs in North America, Spain and Argentina, an increase in North American marketing expenses and higher distribution costs in Latin America. As a result, BIMBO's adjusted EBITDA rose only 2.7% YoY.

Significant reduction in net income - Net income decreased 31% YoY to MXN$985 million, due to higher-than-expected exchange losses and an increase in the tax rate to 43.0%, compared to 38.5% in the same period last year.

BIMBO announced that it carried out two acquisitions - The first one was Stonemill Bakehouse, a Canadian company that produces slow crafted baked bread. It is located in Toronto, and generates sales of 18 million Canadian dollars. The second one was Grupo Adghal in Morocco, a company specializing in baked goods, with estimated sales of US$11 million. The amount of these transactions was not provided.

Revenues growth by region



Source: Interacciones Research with the Company's quarterly result.

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BIMBO A: Historic Target Price(s) & Recommendation(s)

Date of change	12-oct-15	18-sep-14	18-jul-14
Target Price	**P$44.00**	**P$44.00**	**P$220.00**
Recommendation	2	1	2

** Recommendations: 1=Buy, 2=Hold, 3=Sell*